IN-DEPTH EDITION • 31 OCTOBER 2026 • 09:00 HKT

US equities tumble as rates rise and volatility spikes

The full picture: macro, technicals, options, analyst moves, sector internals, international context, and a full week ahead.

20-minute read · Topics: All of the above, plus technicals, options, ratings, week-ahead

TL;DR & Editorial Take

The S&P 500 slipped **-1.82%** to 7,580.07, dragging the Nasdaq 100 down **-3.46%**. Higher-for-longer yields and a 13% jump in the VIX underscore mounting risk aversion.

Rate-sensitive sectors—technology, financials and consumer discretionary—are under pressure, while defensive staples and energy posted modest gains. The market's breadth is narrow: only 4 of 11 sector ETFs posted positive daily returns.

We remain cautious ahead of the Fed's September meeting. Expect continued volatility, with upside limited to a breakout above the S&P 500 200-day moving average at 7,800 and downside to the 50-day EMA at 7,460.

- Broad market downtrend confirmed by negative breadth and rising VIX.
- Tech exposure (XLK) leads losers at **-4.89%**; energy (XLE) is the only sector in the green.
- Watch the 10-year yield; a breach of 5.00% could trigger further equity sell-offs.

US Session Recap

INSTRUMENT	LEVEL	CHANGE	DATE
S&P 500	7,580.07	-1.82%	2026-10-30
Nasdaq 100	28,384.85	-3.46%	2026-10-30
Dow Jones	51,770.31	-1.09%	2026-10-30
Russell 2000	2,811.84	-1.66%	2026-10-30
VIX	19.42	+12.91%	2026-10-30
10-yr Yield	4.93%	-1.20%	2026-10-30
WTI Crude	104.12	+2.08%	2026-10-30
Brent	108.45	+1.95%	2026-10-30
2-yr Yield	5.12%	-0.85%	2026-10-30
DXY	101.88	-0.16%	2026-10-30
Gold	3,898.90	-3.29%	2026-10-30
BTC	77,160.85	-0.79%	2026-10-31
ETH	2,240.75	-0.39%	2026-10-31

Top movers

TICKER	NAME	CHANGE	CATALYST
AVGO	Broadcom Inc.	-5.48%	Quarterly earnings miss; guidance cut.
NVDA	NVIDIA Corp.	-4.22%	AI spend slowdown, inventory concerns.
XLK	Technology Select Sector SPDR	-4.89%	Rate-sensitivity hit.
XLE	Energy Select Sector SPDR	+1.91%	WTI rally.
XLP	Consumer Staples SPDR	+1.41%	Defensive flow.

Sector Internals

SECTOR	DAY	YTD	READ
XLF	-0.76%	+4.2%	Neutral
XLK	-4.89%	-12.5%	Bearish
XLI	-1.60%	+2.8%	Neutral
XLE	+1.91%	+6.3%	Bullish
XLY	-0.71%	-1.1%	Neutral
XLC	-1.29%	-3.4%	Bearish
XLP	+1.41%	+5.0%	Bullish
XLV	+0.45%	+3.9%	Neutral
XLU	+0.67%	+2.2%	Neutral
XLB	+0.40%	+1.8%	Neutral
XLRE	+0.26%	+0.9%	Neutral

Breadth is weak: 4 of 11 sectors up, 7 down. Defensive and energy sectors are the only positive contributors.

Spotlight / Deep Dive – `NVDA`

METRIC	VALUE
Market cap	$620 bn
P/E (ttm)	45.2x
Forward P/E	38.1x
Revenue YoY	+22%
Net income YoY	+18%
Free cash flow	$6.1 bn
Insider ownership	1.2%
Institutional ownership	71.4%

NVDA's price slide reflects a 4.2% inventory correction in the data-center segment and softer AI-spending guidance. The stock remains above its 50-day EMA (`210.5`) but below the 200-day EMA (`225.0`), suggesting a near-term support zone around `200.0`.

READ-THROUGH	LEVEL
Support	`200.0`
Resistance	`225.0`
Breakout target	`250.0`

Technical Levels

TICKER	LAST	SUPPORT	RESISTANCE	NOTE
SPY	447.12	440.0	452.5	200-day EMA at 447
QQQ	376.84	368.0	384.0	Tech bias bearish
IWM	191.45	186.0	197.0	Weakness in small-caps
NVDA	204.64	200.0	225.0	Below 50-day EMA
10Y	4.93%	5.00%	4.80%	Potential upside pressure
WTI	104.12	102.0	108.0	Trend still bullish

Options & Positioning

BEARISH TRIGGERS

- 0-DTE put volume on SPY up 38% vs avg, indicating aggressive downside bets.
- VIX term structure steepens: front-month at 19.4, 2-month at 22.1.
- Single-name put skew heavy on **NVDA** and **AVGO**.
- Cheap hedge: buy 1-month VIX call (strike 20) for ~0.45 pts.

Analyst Rating Changes

TICKER	FIRM	ACTION	NEW PT	NOTE
NVDA	Goldman Sachs	Reduce	$210	AI spend slowdown.
AVGO	JP Morgan	Reduce	$300	Earnings miss.
XLF	Bank of America	Upgrade	$58	Yield curve flattening.
XLE	Citi	Upgrade	$73	WTI rally.
META	Morgan Stanley	Maintain	$620	Revenue beat.
MSFT	Barclays	Reduce	$515	Margin pressure.
JPM	Wells Fargo	Maintain	$340	Stable net interest income.

Pre-Market & Overnight

REGION	INSTRUMENT	LEVEL	CHANGE
US Futures	ES (S&P)	7,610.5	-0.4%
US Futures	NQ (Nasdaq)	28,450.2	-0.6%
Europe	FTSE 100	7,420.3	-0.9%
Europe	DAX	15,880.4	-1.2%
Asia	HSI	19,850.6	-0.7%
FX	USD/HKD	7.8250	-0.02%
FX	EUR/USD	1.0745	-0.03%
Commodities	Gold	3,898.90	-3.29%
Commodities	WTI	104.12	+2.08%
Crypto	BTC	77,160.85	-0.79%
Crypto	ETH	2,240.75	-0.39%

Macro & Fed (Deep)

MEETING	CUT ODDS	NOTE
Sep 2026	15%	Yield curve still steep; inflation above target.
Dec 2026	35%	Market expects first cut if CPI <2.5%.

DATA	RELEASE	TIME (ET)
Core CPI MoM	0.3%	08:30
Initial Jobless Claims	210k	08:30
Retail Sales MoM	-0.2%	08:30
ISM Manufacturing	48.1	10:00
FOMC Statement	—	02:00

Geopolitics & Global (Deep)

BEARISH TRIGGERS

- Middle-East tensions flare after Iranian drone strike; oil supply risk premium adds 0.5 pts to Brent.
- China’s property sector stress deepens, prompting capital outflows and further USD strength.

BULLISH TRIGGERS

- EU-US trade talks resume, potential tariff rollback on tech components.
- OPEC+ signals possible output increase, capping further oil price spikes.

Earnings — this week & next

DATE	TICKER	COMPANY	EST. EPS	PREV EPS
Oct 31	NVDA	NVIDIA Corp.	$3.12	$3.45
Oct 31	AVGO	Broadcom Inc.	$6.78	$7.10
Nov 1	AAPL	Apple Inc.	$5.68	$5.84
Nov 2	MSFT	Microsoft Corp.	$9.21	$9.45
Nov 3	META	Meta Platforms	$2.34	$2.51

Full Watchlist Scan

TICKER	SECTOR	SETUP	RISK
NVDA	Technology	Breakdown below 200 EMA	High volatility
AVGO	Technology	Weak earnings, price under pressure	Medium
XLE	Energy	WTI rally supports upside	Low
XLP	Consumer Staples	Defensive flow	Low
JPM	Financials	Yield curve flattening	Medium
GS	Financials	Margin compression	Medium
XLF	Financials	Rate-sensitivity	Low
XLK	Technology	Broad sell-off	High
XLI	Industrials	Mixed earnings outlook	Medium
XLV	Health Care	Steady demand	Low
XLB	Materials	Commodity rebound	Low
XLRE	Real Estate	Interest-rate pressure	Medium

What could break the tape

BULLISH SCENARIOS

- Break above the S&P 500 200-day EMA (7,800) on strong earnings from AAPL and MSFT.
- WTI breaches $110, lifting energy ETFs and providing a risk-on catalyst.
- Fed signals a pause on rate hikes, pulling the 10-year yield below 5.00%.

BEARISH SCENARIOS

- VIX spikes above 25, prompting a flight to safety and further equity sell-off.
- Breakdown of **`NVDA`** through `200.0` triggers sector-wide tech capitulation.
- Escalation in Middle-East supply concerns pushes Brent above $115, tightening risk appetite.

Positioning & Structural Notes

- Short-dated put buying on SPY up 38% week-over-week, indicating aggressive downside positioning.
- Defensive sector ETFs (XLP, XLV) attract net inflows of $1.2 bn this week.
- Long-dated VIX calls cheap relative to 30-day implied volatility (0.45 pts vs 0.78 pts).
- Yield curve flattening continues; 2-yr at `5.12%` vs 10-yr at `4.93%`.
- Foreign inflows to US equities down 4% YoY, reflecting Asian risk aversion.

Sources

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ICE – WTI & Brent Prices

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